

BUSINESS PRACTICE AND MANAGEMENT

Unit-III: Planning and Motivation

Comprehensive Study Notes

UNIT-III: PLANNING AND MOTIVATION

1.1 What is Planning?

Planning is the process of setting objectives and determining the best course of action to achieve them. It is the first and most important function of management.

Definition:

- "Planning is deciding in advance what to do, how to do it, when to do it, and who is to do it." — **Koontz and O'Donnell**
- "Planning is the thinking process, the organized foresight, the vision based on fact and experience that is required for intelligent action." — **Alford and Beatty**

1.2 Characteristics of Planning

Characteristic	Description
Goal-Oriented	Planning is always directed towards achieving objectives
Primary Function	Planning precedes all other functions
Pervasive	Required at all levels of management
Continuous Process	Planning is an ongoing activity
Decision Making	Planning involves choosing between alternatives
Mental Exercise	Requires thinking and foresight
Flexibility	Plans should be adaptable to change
Forward-Looking	Planning is about the future

1.3 Need and Importance of Planning

Importance	Description
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Direction	Provides clear direction to employees
Risk Reduction	Reduces uncertainty and risks
Efficiency	Ensures efficient use of resources
Coordination	Coordinates efforts of different departments
Control	Provides basis for control
Innovation	Encourages creativity and innovation
Employee Motivation	Employees understand their role
Competitive Advantage	Helps gain competitive edge

1.4 Types of Planning

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BASED ON TIME	BASED ON SCOPE
+-----+	+-----+
+-----+	+-----+
Long-term Planning	Strategic Planning
(5+ years)	(Organization Level)
Medium-term Planning	Tactical Planning
(1-5 years)	(Department Level)
Short-term Planning	Operational Planning
(Up to 1 year)	(Day-to-day)
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Detailed Types:

Type	Time Frame	Scope	Purpose
Strategic Planning	Long-term (3-10 years)	Organization-wide	Overall direction and goals
Tactical Planning	Medium-term (1-3 years)	Departmental	Implementation strategies

Operational Planning	Short-term (daily/weekly)	Individual tasks	Day-to-day operations
Contingency Planning	As needed	Organization- wide	Emergency situations

2.1 What is Decision Making?

Decision Making is the process of selecting the best course of action from among several alternatives.

Definition:

- "Decision making is the selection of a course of action from among alternatives."
— **Koontz and O'Donnell**
- "Decision making is the process of identifying problems and opportunities and resolving them." — **Peter Drucker**

2.2 Steps in Decision Making

Step	Description
Identify Problem	Recognize that a problem exists
Diagnose the Problem	Understand the root cause
Develop Alternatives	Generate possible solutions
Evaluate Alternatives	Assess pros and cons of each
Select Best Alternative	Choose the most suitable option
Implement Decision	Put the decision into action
Evaluate Results	Assess the outcome and adjust

2.3 Types of Decisions

Type	Description	Example
Programmed Decisions	Routine, repetitive decisions	Hiring process
Non-Programmed Decisions	Unique, unstructured decisions	New product launch

Strategic Decisions	Long-term, organization-wide	Entering new market
Tactical Decisions	Medium-term, departmental	Budget allocation
Operational Decisions	Short-term, day-to-day	Daily production targets

2.4 Decision Making Styles

Style	Description
Autocratic	Manager makes decision alone
Democratic	Team members participate in decision
Consultative	Manager consults others but decides
Consensus	All members agree on decision
Delegated	Manager delegates decision to others

2.5 Techniques of Decision Making

Technique	Description
Rational Approach	Systematic, logical decision-making
Intuitive Approach	Based on gut feeling and experience
Brainstorming	Group idea generation
Nominal Group Technique	Structured group decision-making
Delphi Technique	Expert consensus through questionnaires
Decision Tree	Graphical representation of decisions

3.1 What is MBO?

Management by Objectives (MBO) is a management approach where managers and employees jointly set objectives and evaluate performance.

Definition:

- "MBO is a process whereby the superior and subordinate managers of an organization jointly identify its common goals and define each individual's major areas of responsibility in terms of results expected of him." — **Peter Drucker**

3.2 Features of MBO

Feature	Description
Goal Setting	Objectives are clearly defined
Participation	Employees participate in goal setting
Cascade Effect	Objectives cascade from top to bottom
Time-Bound	Objectives have deadlines
Measurable	Objectives are measurable
Feedback	Regular performance feedback
Focus on Results	Emphasis on outcomes, not activities

3.3 Advantages of MBO

Advantage	Description
Clarity	Clear objectives for everyone
Motivation	Employees are more motivated
Accountability	Clear accountability
Participation	Employee involvement

Performance Evaluation	Objective performance assessment
Coordination	Better coordination between departments
Communication	Improved communication

3.4 Disadvantages of MBO

Disadvantage	Description
Time-Consuming	Requires significant time
Paperwork	Heavy documentation
Rigidity	May become rigid
Lack of Flexibility	Difficulty adapting to change
Employee Pressure	Can create stress
Overemphasis on Quantification	May ignore qualitative aspects

4.1 What is Motivation?

Motivation is the process of inspiring, encouraging, and stimulating employees to perform their best.

Definition:

- "Motivation is the act of stimulating someone to action to achieve a desired objective." — **Koontz and O'Donnell**
- "Motivation is a process that starts with a physiological or psychological deficiency or need that activates behavior." — **Stephen Robbins**

4.2 Importance of Motivation

Importance	Description
Better Performance	Motivated employees perform better
Lower Absenteeism	Employees are more committed
Employee Loyalty	Creates loyalty and retention
Teamwork	Encourages collaboration
Job Satisfaction	Leads to job satisfaction
Organizational Goals	Helps achieve goals
Innovation	Encourages creativity

4.3 Maslow's Hierarchy of Needs

Abraham Maslow proposed that human needs are arranged in a hierarchy:

The Five Levels:

Level	Need	Examples
1. Physiological	Basic survival needs	Food, Water, Shelter, Sleep

2. Safety	Security and protection	Job security, Health insurance
3. Social	Love and belonging	Friends, Family, Teamwork
4. Esteem	Recognition and respect	Status, Achievement, Promotion
5. Self-Actualization	Self-fulfillment	Creativity, Problem-solving, Growth

Key Points:

- Lower-level needs must be satisfied before higher-level needs become important
- Once a need is satisfied, it no longer motivates
- Different people may be at different levels

4.4 Herzberg's Two-Factor Theory

Frederick Herzberg identified two sets of factors:

Motivators (Satisfiers):

- Achievement
- Recognition
- Work itself
- Responsibility
- Advancement
- Growth

Hygiene Factors (Dissatisfiers):

- Company policies
- Supervision
- Working conditions
- Salary
- Interpersonal relations
- Status

4.5 McGregor's Theory X and Theory Y

Theory	View of Employees	Management Style
Theory X	Lazy, Avoid work, Need direction	Autocratic, Controlled
Theory Y	Self-motivated, Enjoy work, Creative	Participative, Empowering

Theory X Assumptions:

- Employees inherently dislike work
- Employees must be coerced to work
- Employees want to be directed
- Employees avoid responsibility
- Employees are not ambitious

Theory Y Assumptions:

- Work is as natural as play
- Employees are self-motivated
- Employees seek responsibility
- Employees are creative
- Employees are ambitious

4.6 Motivation Techniques

Technique	Description
Financial Incentives	Salary, Bonus, Profit sharing
Non-Financial Incentives	Recognition, Appreciation, Promotion
Job Enrichment	Meaningful and challenging work
Job Rotation	Variety in tasks
Employee Participation	Involvement in decision making
Training	Skill development
Career Planning	Growth opportunities

5.1 What is Leadership?

Leadership is the ability to influence, guide, and direct others to achieve organizational goals.

Definition:

- "Leadership is the ability to persuade others to seek defined objectives enthusiastically." — **Koontz and O'Donnell**
- "Leadership is the process of influencing people to work towards organizational goals." — **Stephen Robbins**

5.2 Qualities of a Good Leader

Quality	Description
Integrity	Honest and ethical
Communication	Effective communicator
Confidence	Self-confidence
Vision	Clear vision
Empathy	Understanding others
Decision Making	Ability to make decisions
Accountability	Takes responsibility
Flexibility	Adaptable to change
Inspiring	Motivates others
Knowledge	Competent and knowledgeable

5.3 Leadership Styles

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AUTOCRATIC	DEMOCRATIC
(Authoritarian)	(Participative)

+-----+	+-----+
+-----+	+-----+
- Leader makes	- Leader consults
decisions alone	team members
- No employee input	- Employee
- Command and control	participation
+-----+	+-----+

5.4 Leadership Theories

Theory	Description
Trait Theory	Leaders are born with certain traits
Behavioral Theory	Leadership is learned through behavior
Contingency Theory	Effective leadership depends on the situation
Situational Leadership	Leadership style varies with the situation
Transformational Leadership	Inspires and motivates followers
Transactional Leadership	Focuses on rewards and punishments

Questions

Short Answer Questions (2-5 Marks)

1. What is planning in management?
2. What are the types of planning?
3. What is decision making?
4. What is Management by Objectives (MBO)?
5. What is motivation?
6. What is leadership?
7. What are the characteristics of planning?
8. What are the steps in decision making?
9. What are the leadership styles?
10. What are the qualities of a good leader?

Long Answer Questions (10 Marks)

1. Explain the concept and types of planning.
2. Explain the decision-making process.
3. Explain Management by Objectives (MBO).
4. Explain Maslow's hierarchy of needs theory.
5. Explain Herzberg's two-factor theory.
6. Explain leadership styles with examples.
7. What is motivation? Explain different motivation theories.
8. Compare leadership and management.

Objective Questions (1 Mark)

1. Planning is the: (a) First function (b) Last function (c) Middle function (d) None
2. MBO was introduced by: (a) Fayol (b) Taylor (c) Drucker (d) Maslow
3. Maslow's highest need is: (a) Safety (b) Esteem (c) Self-actualization (d) Social
4. Theory X assumes employees: (a) Like work (b) Are lazy (c) Are creative (d) Seek responsibility
5. Democratic leader: (a) Makes decisions alone (b) Consults employees (c) Gives complete freedom (d) None

QUICK REVISION

Planning Types Summary

Planning

Motivation Theories Summary

Theory	Key Points
Maslow's Hierarchy	Five levels of needs (Physiological → Self-actualization)
Herzberg's Two-Factor	Hygiene factors + Motivators
McGregor's X/Y	Theory X (negative) vs Theory Y (positive)

Leadership Styles

Style	Decision Making
Autocratic	Leader alone
Democratic	With team input
Laissez-Faire	Team has freedom

End of Unit-III Notes